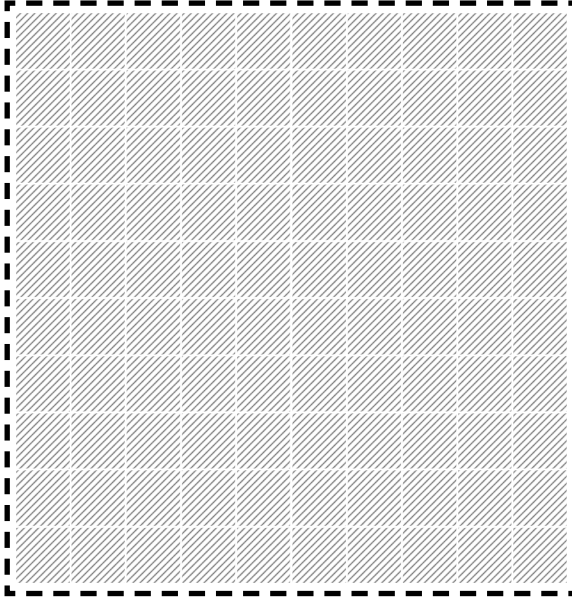


1.2 What is a Share?

Assume that the company is a big piece of land. Think of this huge land as the entire company. No one is ready to buy the entire land because it would cost them a lot of money!

So what can we do about it?



We divide this land into multiple smaller pieces. By doing so, instead of selling the entire land piece to a single individual, we are now selling small equal parts of it to multiple people.

This is exactly how shares works!



Since raising a large amount of funds from a few people are not always viable, the company divides itself into say 100 small parts called 'shares' and sells them to multiple individuals. Here each share equals 1% of the total company value.

In reality, a company won't be divided into just 100 parts or shares. There might be thousands of it or sometimes even lakhs and crores.

Therefore, had the company been divided into 1 crore smaller parts, each share would represent $1/1,00,00,000^{\text{th}}$ of the total company value.

Each share shall be owned by an someone, some people might own a single share while others may own a huge chunk of shares i.e. in lakhs.